

ANI

POSITION OF STRENGTH
Andhra Pradesh CM N. Chandrababu Naidu with Bihar CM Nitish Kumar

fiscal deficit (the excess of total expenditure over total receipts/income) was budgeted at 3.8 per cent (Rs 54,588 core) of its Gross State Domestic Product (GSDP) for 2023-24, and the state's revenue deficit was 1.5 per cent (Rs 22,317 crore) of its GSDP. This is above the prevailing average fiscal and revenue deficit for all states at 3.1 per cent and 0.1 per cent respectively. The outstanding liabilities of Andhra at 35.2 per cent of its GSDP are way above other states' average of 27.6 per cent. Against this dispiriting backdrop, Naidu has to mobilise funds to implement his pre-poll promise of 'six guarantees' as well as to continue older welfare schemes. Cash benefits under the Super Six schemes include an unemployment dole of Rs 3,000 to every jobless person, Rs 15,000 a year to every school-going child, Rs 20,000 a year to each farmer and a dole of Rs 1,500 a month to women aged 18 to 59.

Both Nitish and Naidu are desperate for the greater flow of funds from Delhi that a special category status would guarantee. It is a demand Modi and NDA cannot decline this time around. ■

"China is facing the challenge of becoming old and is not yet rich. If India doesn't achieve the kind of growth China did, we will become both an old and poor nation." Geopolitics, too, favours India as major powers court New Delhi. Rapid technological innovations, including AI, have levelled the playing field for aspiring nations like India. Climate change, meanwhile, is forcing countries to get out of the carbon economy, giving India a chance to emerge as a world leader in green technology instead of leading in coal consumption.

The past two terms have seen Modi deliver basic civic amenities such as water and sanitation and infrastructure like roads to near-saturation levels. He now has the leeway to hard-focus on areas that could spur rapid economic growth and generate vast amounts of quality employment. After his meditation break at Kanyakumari just before the votes were counted, Modi wrote, "We must make excellence the fundamental principle to make our country Viksit Bharat. We need to work quickly in all four directions: Speed, Scale, Scope and Standards." And one area that Modi is likely to focus on is huge capacity-building in quality education and skill development. To create more jobs, he is also likely to give a major boost to labour-heavy sectors such as tourism and textiles besides continuing to spend big on infrastructure. Manufacturing, especially in the small-scale sector, is expected to receive renewed attention, as is agricultural reform. Subrahmanyam says, "Economic reforms are needed to make Indian firms global in size by improving competitiveness and that is likely to be the broad theme including a focus on revamping the financial sector." Modi is also likely to push schemes for urban renewal to ensure that the quality of life in our cities is vastly improved. Boosting Indian R&D through generous funding for private ventures is also on the cards. On foreign policy, apart from working on India becoming a major international pole, signing on more trade pacts could be in the offing, for exports to grow.

Modi will have to hard-focus this term on areas that can spur rapid economic growth and generate vast amounts of quality employment

Land and labour reforms as well as PSU disinvestment, along with delimitation of constituencies, which will increase the size of Lok Sabha seats in 2026, is where experts expect Modi to encounter resistance from his coalition partners. But the coalition governments of Narasimha Rao and Vajpayee have demonstrated that it is possible to push ahead with far-reaching and dramatic reforms. That it will be a tough haul for Modi is certain. But then he has also amply demonstrated in the past that he is capable of converting the worst adversity into the best opportunity. This is one such opportunity. The nation has given him and the BJP plus allies the mandate to rule for a third term while voting in a strong Opposition as a balance to protect the principles and institutions that make India a great democracy. That more than 640 million Indians exercised their franchise in the recently-concluded election proves that tradition is thriving. ■